EUROPEAN COMMISSION

DG Competition

Case M.11071 – DEUTSCHE LUFTHANSA / MEF / ITA

Only the English text is available and authentic.

REGULATION (EC) No 139/2004
MERGER PROCEDURE

Decision on the implementation of the commitments - Purchaser approval
Date: 29/11/2024

EUROPEAN COMMISSION

Brussels, 29.11.2024
C(2024) 8653 final

PUBLIC VERSION

In the published version of this decision, some information has been omitted pursuant to Article 17(2) of Council Regulation (EC) No 139/2004 concerning non-disclosure of business secrets and other confidential information. The omissions are shown thus […]. Where possible the information omitted has been replaced by ranges of figures or a general description.

Deutsche Lufthansa AG
Lufthansa Aviation Center Airportring
D-60546 – Frankfurt/Main
Germany

Ministry of Economy and Finance of Italy
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Dear Sir or Madam,

Subject: Case M.11071 – DEUTSCHE LUFTHANSA / MEF / ITA
Approval of easyJet as the Short-Haul Remedy Taker and Air France – KLM and IAG as the Long-Haul Remedy takers following your letters of 11 November 2024 and the Monitoring Trustee's opinions of 18, 20 and November 2024

1. FACTS AND PROCEDURE

(1) By decision of 3 July 2024 (the 'Decision') based on Article 8(2), the Commission declared the operation by which Deutsche Lufthansa AG ('Lufthansa') and the Ministry of Economy and Finance of Italy ('MEF') (together the 'Parties') acquire joint control of Italia Trasporto Aereo S.p.A. ('ITA') compatible with the internal market, subject to conditions and obligations (the 'Commitments' attached to the Decision).

(2) In particular, the Commitments included:

i) A remedy that has as its objective to maintain effective competition on the short-haul routes FCO – FRA; FCO – MUC; FCO – ZRH; FCO –BRU;

FCO - HAM; LIN/MXP – DUS; LIN – FRA; LIN/MXP – HAM; LIN/MXP – BRU; and LIN/MXP – VIE ('Short-Haul Remedy Routes'). The Parties committed to procure the entry and launch of operations of either (i) one new entrant remedy-taker on all ten of these routes or, (ii) at most, two remedy takers, one on the routes FCO-BRU and LIN/MXP-BRU, and one on the remaining eight routes (in all cases, the 'Short-Haul Remedy Taker'), by transferring the necessary slots and providing other necessary elements to the Short-Haul Remedy Taker. In addition, the Parties committed to enter into an Entry Commitment Agreement with the Short-Haul Remedy Taker, which provides for the commitment by the Short-Haul Remedy Taker to enter on the Short-Haul Remedy Routes and defines a minimum period and frequencies for the Short-Haul Remedy Taker's operations, including the provision of suitable enforcement steps against the Short-Haul Remedy Taker to ensure compliance with the Entry Commitment Agreement.[1]

ii) A remedy that has as its objective to maintain effective competition on the short-haul routes BDS – DUS (summer); BRI – FRA (winter); BRI – HAM (summer); BRI – MUC; CAG – MUC (summer); NAP – DUS (winter); NAP – HAM (summer); NAP – FRA ('Short-Haul Direct/Indirect Remedy Routes'). The Parties committed to enter into an agreement that will enable the Short-Haul Remedy Taker, as identified pursuant to the remedy under point i), to sell tickets for connecting flights on those routes. In the event that the Short-Haul Remedy Taker would propose to operate the Short-Haul Remedy Route LIN/MXP – DUS from MXP instead of LIN, the Commitments provided that the Short-Haul Remedy Taker should be capable of providing viable and competitive connecting flights on the two relevant Short-Haul Direct/Indirect Remedy Routes involving DUS, namely from Düsseldorf to BDS and NAP.

iii) A remedy that has as its objective to maintain effective competition at Milan Linate ('LIN') airport. In addition to the slots at LIN to be divested pursuant to point i), the Parties committed to divest additional slots at LIN and transfer these to the Short-Haul Remedy Taker as identified pursuant to point i). These slots shall be spread across all traffic days and LIN's operating hours to enable a continuous offer and efficient operation of the Short-Haul Remedy Taker.

iv) A remedy that has as its objective to maintain effective competition on the long-haul routes FCO – SFO (year-round), FCO – WAS (year-round), and FCO – YTO (summer season only) (together, the "Long-Haul Remedy Routes"). For each of the routes FCO – WAS (year-round), FCO – SFO (summer only) and FCO – YTO (summer only), this entails at least ten (10) additional weekly Competitive Indirect Connections[2] (as an average value

[1] For completeness, the minimum period defined in the Commitments, as well as the Entry Commitment Agreement, has been defined as a period of at least six consecutive IATA seasons commencing from Summer IATA Season 2025. The Entry Commitment Agreement has been submitted as Annex 1 to the easyJet Reasoned Proposal.

[2] According to Section A of the Commitments, Competitive Indirect Connection(s) means a "*New and/or improved one-stop connection(s) on the Long-Haul Remedy Routes with a total travel time of up to +3 hours compared to ITA's direct flight and a connection time of up to 2 hours when connecting in Europe (or a total travel time of up to +4 hours and a connection time of up to 3 hours when connecting in North America). For the sake of clarity, a connection also qualifies as "new" if a hub that has not been connected within the +3h/+4h time window before is connected within that*

per season), offered across two (2) separate and independent competitors that are unconnected to the Parties, their affiliates, and the A++ JV partners ("Long-Haul Remedy Takers"). For those routes and IATA seasons, at least one of the Long-Haul Remedy Takers must rely on its own network or on cooperation (such as interlining) with independent third parties (other than ITA, Lufthansa and its A++ JV partners), whereas the other Long-Haul Remedy Taker can rely on cooperation agreements (interlining or other) with the Parties. For FCO – SFO (winter only), this entails at least three (3) additional weekly Competitive Indirect Connections during winter, offered by at least one (1) Long-Haul Remedy Taker. To establish the above mentioned Competitive Indirect Connections, the Parties committed to enter industry standard cooperation agreements (such as interlining agreements, slot swaps and re-timings) with Long-Haul Remedy Taker(s) on flights to and from FCO to other airport hub(s) located in Europe or in North America, in order to allow the Long-Haul Remedy Taker(s) to operate their own (existing or new) one-stop operations on the Long-Haul Remedy Routes. In addition, the Parties committed to enter into a Slot Transfer and Exchange Agreement ("STA") to bring about the exchange or transfer of the necessary slots at FCO airport and facilitate the operation of the Competitive Indirect Connections by the Long-Haul Remedy Takers.[3]

(3) By letter of 11 November 2024 (the 'easyJet Reasoned Proposal' and 'the Long-Haul Reasoned Proposal'), Lufthansa ('Lufthansa') and the MEF ('MEF') proposed:

i) EasyJet Airline Company PLC ('easyJet') for approval by the Commission as the Short-Haul Remedy Taker and submitted the proposed Entry Commitment Agreement, Slot Transfer Agreement, and Virtual Interlining Agreement, together with the heads of terms of the Wet Lease Agreement (the 'Proposed Short-Haul Agreements'). On 18 November 2024, NOCON Nothhelfer Consulting PartG (the 'Monitoring Trustee') submitted an assessment of easyJet's suitability as the Short-Haul Remedy Taker (the 'Reasoned Opinion easyJet') and, in particular, indicated that it fulfils the remedy taker requirements set out in Section C of the Commitments. In this assessment, the Monitoring Trustee also indicated that, on the basis of the Proposed Short-Haul Agreements, the remedy would be implemented in a manner consistent with the Commitments.

ii) International Airlines Group ('IAG') and Air France-KLM S.A ("AFKL Holding"), Société Air France ("Air France") and Koninklijke Luchtvaart Maatschappij N.V. (KLM, with AFKL Holding and Air France, "AFKLM") for approval by the Commission as the Long-Haul Remedy Takers, and submitted the proposed connectivity agreements that the Parties agreed with

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timeframe, even if the Long-Haul Remedy Taker already has, at the time of the Decision, existing connections via other hubs of its group or transatlantic joint venture. A one-stop connection of a competitor already operating a one-stop connection on the respective Long-Haul Remedy Route within the +3h/+4h timeframe only counts as "improved" if the total travel time of the improved connection (i.e. via another indirect connection) is reduced by at least 60 minutes. The baseline for any comparison of the above new and/or improved one-stop connections on the Long-Haul Remedy Routes shall be the respective Long-Haul Remedy Taker(s)' connections in Winter 2023/2024 and Summer 2024 IATA season published as of the Effective Date".

[3] Clause 3.3 of the IAG and AFKLM Connectivity Agreements and the related Slots Transfer Agreements.

IAG's subsidiary British Airways plc ("BA") and AFKLM on 4 November 2024 (respectively, the 'IAG Connectivity Agreement' and 'AFKLM Connectivity Agreement' and, together with the STAs, the 'Proposed Long-Haul Agreements'). The Proposed Long-Haul Agreements also envisage the transfer of slots at Milan Linate (LIN) airport from the Parties to the Proposed Long-Haul Remedy Takers.[4]According to the Parties, these slots are "*an integral part of the long-haul remedy package aimed at ensuring effective and improved competition on the Long-Haul Remedy Routes*".[5]

(4) In its Reasoned Opinion of 18 November 2024 for IAG ("Reasoned Opinion IAG") and its Reasoned Opinion of 22 November 2024 for AFKLM ("Reasoned Opinion AFKLM"), the Monitoring Trustee submitted assessments of IAG and AFKLM's suitability as the Long-Haul Remedy Takers and, in particular, indicated that they each fulfil the remedy taker requirements set out in Section C of the Commitments. In these assessments, the Monitoring Trustee also noted that, based on the Proposed Long-haul Agreements, the transfer of slots at Milan Linate will be assessed pursuant to article 8 (b) of the Slot Regulation[6] and indicated that the remedy would be implemented in a manner consistent with the Commitments.

2. ASSESSMENT OF THE PROPOSAL - SHORT-HAUL

(5) Pursuant to paragraph 35 of the Commitments, the Commission has to verify that the Short-Haul Remedy Taker fulfils the criteria enshrined in Section C of the Commitments. Moreover, the Commission must verify that the Proposed Short-Haul Agreements are consistent with the Commitments, including their objective to bring about a lasting structural change in the market.

(6) According to paragraphs 34 *and ff* of the Commitments, in order to be approved by the Commission, any Short-Haul Remedy-Taker must fulfil the following criteria:

(a) The Short-Haul Remedy Taker shall be independent of and unconnected to the Notifying Parties and their Affiliated Undertakings (this being assessed having regard to the situation following the divestiture).

(b) The Short-Haul Remedy Taker shall have the financial resources, proven expertise and incentive to act as a viable and active competitive force in competition with the Parties and other competitors on the Remedy Short-Haul Routes.

(c) The operations on the Remedy Short-Haul Routes by the Short-Haul Remedy Taker must neither be likely to create, in light of the information available to the Commission, *prima facie* competition concerns nor give rise to a risk that

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4 The Long-Haul Remedy Agreements envisage that the Parties will transfer […] slots during the IATA Summer season and […] slots during the IATA Winter season at LIN airport to IAG (see Tables 5 and 6 of the Long-Haul Reasoned Proposal) as well as […] slots during the IATA Summer season and […] slots during the IATA Winter season at LIN airport to AFKLM (see Tables 12 and 13 of the Long-Haul Reasoned Proposal). The Long-Haul Remedy Agreements do foresee that, if the Long-Haul Remedy Takers do not comply with their obligations under the Agreements, and, consequently, the Parties would no longer be deemed to fulfil the Commitments, the Long-Haul Remedy Takers will have to return these LIN slots to the Parties. Other than this, the Long-Haul Remedy Agreements do not include any additional conditions attached to this slot transfer or to the usage of these slots by the Long-Haul Remedy Takers.

5 Long-Haul Reasoned Proposal, paragraph 29.

6 Council Regulation (EEC) No 95/93 of 18 January 1993 on common rules for the allocation of slots at Community airports, OJ L 14, 22.1.1993.

the implementation of the Commitments will be delayed. In particular, the Short-Haul Remedy Taker must reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the operations on the Remedy Short-Haul Routes.

(7) It is by reference to these criteria that the Commission will assess in this section the Parties' submission in the easyJet Reasoned Proposal, submitted on 11 November 2024, to approve easyJet as the remedy taker for the (i) Short-Haul Remedy Routes, the (ii) Short-Haul Direct/Indirect Remedy Routes, and (iii) the additional slots at Milan LIN airport.

2.1. Brief description of the proposed remedy taker

(8) easyJet is an airline group headquartered in London, the United Kingdom, active primarily in short-haul routes in Europe, focusing primarily on Western and Northern Europe. It operates domestic and international scheduled services. easyJet has 30 bases across Europe,[7] with London Gatwick being the biggest operational hub, where […] aircraft are based. Other bases of the airline include Porto ([…] aircraft), Barcelona ([…] aircraft), Naples ([…] aircraft), and Milan Malpensa ([…] aircraft).[8]

2.2. Remedy taker criteria

2.2.1. Independence from the Parties

(9) According to paragraph 34 (a) of the Commitments, the Short-Haul Remedy Taker shall be independent of and unconnected to the Notifying Parties and their Affiliated Undertakings (this being assessed having regard to the situation following the divestiture).

(10) easyJet is not a carrier belonging to the same group of companies as Lufthansa ('Lufthansa Group') nor is it part of a group of companies under the control of the MEF, as is the case with ITA. In addition, easyJet and Lufthansa are not aware of any material shareholders common to easyJet and Lufthansa (i.e., with shareholdings in excess of 5%). Similarly, easyJet is not aware of any material shareholdings in easyJet which may be owned by the Italian State (i.e., in excess of 5%).[9]

(11) There are currently certain contractual relationships between Lufthansa and easyJet. Notably:

(a) easyJet relies on Lufthansa Technik AG, a wholly owned subsidiary of Lufthansa Group, to provide heavy base maintenance in Sofia, Bulgaria, and light overnight services in Milan, Italy, at Milan Malpensa Airport ('MXP'). In addition, easyJet is using AMOS, a maintenance management system of Lufthansa Technik AG.[10]

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7 Reasoned Opinion easyJet, Section 5.1.
8 easyJet Reasoned Proposal, paragraph 7.
9 easyJet Reasoned Proposal, paragraph 13.
10 easyJet Reasoned Proposal, paragraph 15, first bullet.

(b) easyJet purchases certain […] services from Lufthansa Group. These contracts are […]. Moreover, easyJet typically procures these services […].[11]

(12) Based on the submissions of the Parties and the Reasoned Opinion easyJet, these contractual relationships are at arm's length and do not constitute a large share of easyJet's procurement spend in the relevant category (e.g. maintenance and IT services).[12]

(13) Based on the above, easyJet is independent of and unconnected to the Parties and their affiliated undertakings.

(14) Furthermore, according to paragraph 6 of the Commitments, DLH and MEF are required to enter into an agreement that will enable the Short-Haul Remedy Taker to sell tickets for connecting flights on the eight[13] Short-Haul Direct/Indirect Remedy Routes. According to the easyJet Reasoned Proposal, this will be achieved by means of the Virtual Interlining Agreement between easyJet and ITA.[14] The Commission considers that the Virtual Interlining Agreement will not create a dependency of easyJet on the Parties. First, easyJet has such agreements in place with other airlines, e.g. Aegean Airlines, Emirates, WestJet, Air Transat, Neos and Norse Atlantic, and uses them as a tool to enhance connectivity and expand its network. Second, easyJet will be able to design its flight plan fully independently of ITA, and will only have the ability to benefit from ticket sales on ITA's domestic network for its own use. Third, the agreement between ITA and easyJet is mandated by the Commitments and will be monitored by the Commission throughout its application in line, in particular, with paragraphs 28 and 29 of the Commitments.

2.2.2. Financial resources to act as a viable and active competitive force

(15) According to paragraph 34 (b) of the Commitments, the Short-Haul Remedy Taker shall have the financial resources, proven expertise and incentive to act as a viable and active competitive force in competition with the Parties and other competitors on the Remedy Short-Haul Routes and the Short-Haul Direct/Indirect Remedy Routes.

(16) In the financial year 2023, easyJet's turnover was GBP 8.171 billion and it generated a net profit of GBP 324 million. It flew 82.8 million passengers and had on average around 16,000 employees. As of 31 March 2024, easyJet's fleet consists of 343 aircraft with an average gauge of 180 passengers.[15]

(17) Based on the information submitted by easyJet to the Monitoring Trustee, easyJet experienced a constant growth in terms of passengers and fleet size between 2014 and 2019, and functioned profitably in each of these years. While the Covid-19 pandemic had a significant negative impact on easyJet's performance in 2020-2022, easyJet returned to profitability in 2023.[16] easyJet planned to further

11 easyJet Reasoned Proposal, paragraphs 15, second bullet, and paragraph16.
12 Reasoned Opinion easyJet, Section 3.
13 For completeness, the indirect short-haul route CAG-MUC will only be offered by easyJet subject to ITA operating the CAG-FCO leg, governed by a Public Service Obligation imposed by the Italian authorities.
14 easyJet Reasoned Proposal, paragraph 26 and ff.
15 Reasoned Opinion easyJet, Section 4.
16 Reasoned Opinion easyJet, Table 1.

improve its market position in 2024.[17] Based on the data available from the third quarter of the financial year 2024, easyJet appears to have been successful in that respect.[18] In addition, as of 30 June 2024 easyJet's net cash position was positive at GBP 456m, and easyJet enjoyed credit ratings of "Baa2, stable" by Moody's and "BBB, positive" by Standard & Poor's.[19]

(18) Based on the above, easyJet has the financial resources to act as a viable and active competitive force.

2.2.3. Proven expertise to act as a viable and active competitive force

(19) In 2023, easyJet was Europe`s sixth largest airline in terms of passengers carried. easyJet offers flight services on 1,045 routes across 35 countries and 158 airports and maintains 30 bases. easyJet already operates in all countries and most of the airports relevant to the Short-Haul Remedy Routes, the Short-Haul Direct/Indirect Remedy Routes and at Milan LIN airport.[20]

(20) Furthermore, easyJet already serves primary airports and therefore has experience in offering flights at the kind of airports covered by the Short-Haul Commitments. easyJet explained during the proceedings, that "*[u]nlike ultra-low-cost carriers like Ryanair and Wizz Air, easyJet does not always opt for cheaper regional airports. Instead, it usually operates from primary airports, i.e., those located closest to the city centre. This is because easyJet wants to be attractive to different types of customers (e.g., business and leisure), including the time-sensitive ones"*.[21] This statement is substantiated by the fact that easyJet is active on several primary airports, such as AMS, BCN, MAD, FCO, CDG, MUC, or BRU.

(21) Moreover, easyJet has experience in distributing tickets for itineraries using more than one flight segment. In 2017, easyJet launched Worldwide by easyJet ('Worldwide'), a platform where easyJet customers can combine different easyJet flights or flights of easyJet with those of one of its 23 partner airlines. Worldwide relies on a partnership with the technology provider Dohop, pursuant to which Dohop provides the possibility to purchase different flight segments based on its white label website and virtual interlining platform and, if chosen by the customer, offers protection such as rebooking, accommodation and reimbursement of additional travel costs in case of disruptions.[22] Customers can access the itineraries through easyJet's own website, and through meta search platforms such as Google Flights and Skyscanner.

(22) easyJet also has a strong market presence and therefore proven expertise of operating in Italy. Over the course of 2024 so far, easyJet served 21 airports in Italy with a capacity of more than 20 million seats. While easyJet does not currently operate a base in Rome, it offers up to 1.7 million seats annually at Rome Fiumicino ('FCO') and offers at Milan Linate ('LIN') several connections inbound from other European bases. Moreover, easyJet's largest base in the EU and the second largest overall is in MXP, and it also operates other bases in Italy. In

17 Reasoned Opinion easyJet, Section 4.
18 Reasoned Opinion easyJet, Section 4.
19 Reasoned Opinion easyJet, Section 4.
20 Reasoned Opinion easyJet, Section 5.1.
21 Non-confidential minutes of a conference call with easyJet, dated 24 October 2023, paragraph 8, ID 1054.
22 Reasoned Opinion easyJet, Section 5.4.1.

addition, easyJet is also present in Germany and Switzerland with bases (Berlin, Geneva, and Basel), and serves Austrian and Belgian destinations (Salzburg, Innsbruck, Brussels).[23]

(23) easyJet therefore has the proven expertise to act as a viable and active competitive force on the Short-Haul Remedy Routes, the Short-Haul Direct/Indirect Remedy Routes, and also with respect to the additional slots at Milan LIN airport in competition with the Parties.

2.2.4. Incentive of easyJet to act as a viable and active competitive force

2.2.4.1. Short-Haul Remedy Routes

(24) As indicated above in paragraph (2)i), according to paragraph 1 of the Commitments, Lufthansa and MEF commit to procure the entry and the launch of operations by the Short-Haul Remedy Taker on all ten Short-Haul Remedy Routes by transferring to the short-haul remedy taker all the necessary slots and providing other necessary elements. Paragraph 2 of the Commitments foresees that the remedy-taker's obligations are enshrined in an Entry Commitment Agreement, while in paragraph 3 Lufthansa and the MEF commit to ensure enforcement of the Commitments.

(25) The Parties provided a signed Entry Commitment Agreement, and Slot Transfer Agreement to the Commission, which foresee the following:

(a) A commitment by easyJet to enter on the Short-Haul Remedy Routes and operate at least the minimum Frequencies on these routes during a minimum period (of six consecutive IATA Seasons commencing from Summer IATA Season 2025) as provided under clause 14 of the Commitments.

(b) Enforcement steps against easyJet to ensure compliance with the Entry Commitment Agreement.

(c) A mechanism to replace easyJet as Short-Haul Remedy Taker based on a Slot Utilization Shortfall Event (as defined in paragraph 8 of the Commitments).

(d) Specific slots to be transferred to easyJet and a commitment from Lufthansa and ITA to transfer the slots for the Summer season before the IATA Historics Baseline Date, namely 31 January 2025, which will permit a timely entry of easyJet in IATA Summer season 2025.

(e) A right for easyJet to keep the grandfathering rights for the transferred slots once easyJet has operated the slots for the minimum period without contravening its obligations.

(26) The Commission considers that easyJet will have the incentive to act as a viable and active competitive force on the Short-Haul Remedy Routes for the following reasons.

(27) First, Italy is already a core market of easyJet, and the Commitments require significant further investment which easyJet is committing to undertake and which demonstrates easyJet's interest in the commercial opportunities its market entry presents.

[23] Reasoned Opinion easyJet, Section 5.1.

(28) In the first place, as indicated above, easyJet is a long-standing airline operating within the EEA. It has extensive experience in providing passenger air transport services within the EEA, including at primary airports. Operating flights on the Short-Haul Remedy Routes and the Short-Haul Direct / Indirect Remedy Routes represents an opportunity for easyJet with regard to its brand position in Italy as a whole, to expand its presence in LIN and to rapidly establish scale in FCO.[24]

(29) In the second place, Italy, is already an important market of easyJet, where easyJet is committed to grow and where it has made significant investments in the recent years.[25]

(30) In the third place, easyJet entered into the agreements as a single remedy taker for all Short-Haul Remedy Routes and Short-Haul Direct / Indirect Remedy Routes and for the slots at LIN. Being a single remedy-taker, easyJet is more likely to reach a scale of operations sufficient to allow it to operate on the Short-Haul Remedy Routes during the minimum period and beyond, on the long-term. In particular, easyJet will have the opportunity to base a number of aircraft at FCO and at LIN.[26] The investment required to open these bases indicates easyJet's interest in the commercial opportunities its market entry presents.[27]

(31) Second, while easyJet has previously submitted to the Commission that "*airports in Rome are not a focus for easyJet*",[28] it has submitted to the Monitoring Trustee that the larger number of FCO Short-Haul Remedy Routes and Short-Haul Direct / Indirect Remedy Routes included in the Commitments render such a base feasible from a fleet size and profitability perspective.[29]

(32) Third, data on profitability from other routes in easyJet's portfolio illustrates that easyJet is likely to operate the Short-Haul Remedy Routes at the projected profitability. The Commission has specifically considered the Contribution Per Block Hour ('CPBH') data provided by easyJet to the Monitoring Trustee for the purpose of assessing the strength of easyJet's business case.[30] Based on the CPBH data and a number of examples provided by easyJet, the Monitoring Trustee determined a benchmark CPBH to be used as a proxy to assess whether easyJet would decide to cancel a route ("Route Cancellation CPBH") or a base ("Base Cancellation CPBH"). A possible incentive to cancel is identified in each case where the CPBH for a certain route or base is below the relevant benchmark. The Commission considers that these benchmarks were appropriately chosen for the purpose of assessing whether easyJet has the incentive to fly the Short-Haul Remedy Routes and open new bases, respectively.

(33) In the first place, based on the conservative business case provided by easyJet, all Short-Haul Remedy Routes are above the Route Cancellation CPBH as of year 1 at

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24 Response of Lufthansa to the Commission's request for information (RFI 69), dated 21 October 2024, question 17, b.

25 easyJet Reasoned Proposal, paragraph 61. E.g., starting new activities at QSR (Salerno Costa d'Amalfi).

26 easyJet Reasoned Proposal, paragraphs 68 and 71.

27 Reasoned Opinion easyJet, Annex 5.

28 Non-confidential minutes of a conference call with easyJet, dated 1 August 2023, paragraph 12.

29 Reasoned Opinion easyJet, Section 6.1.4.

30 Reasoned Opinion easyJet, Section 6. This CPBH data is the type of data based on which easyJet generally assesses overall route and base feasibility. It is derived from a number of assumptions relating to revenue per seat, seat occupancy, route maturity and fuel price.

an annual level, with a few exceptions during the winter season only. However, these outlier routes mature during the winter season as well, reaching a CPBH above the Route Cancellation CPBH by year 2, with only one exception that remains below the Route Cancellation CPBH over the winter season only. In any event, the Monitoring Trustee noted that "*it is not unusual for European routes to be weaker in the Winter season*".[31] In this context, the Commission notes that even on these outlier routes, the thresholds remain sufficiently above the thresholds during the summer seasons, and consequently in above the Route Cancellation CPBH levels on an annual basis. Considering the fact that the annual Route Cancellation CPBH remain above the threshold in all routes, the Commission considers that easyJet will have an incentive to operate them in the long-run.

(34) In the second place, even though the Monitoring Trustee notes that easyJet's business case at FCO has less flexibility to absorb cost or revenue fluctuations, easyJet's business case is contribution positive at the base level at both LIN and FCO, both exceeding the Base Cancellation CPBH within the minimum period.[32]

(35) Fourth, the Monitoring Trustee confirmed that easyJet's business case is robust and built on conservative assumptions.

(36) In the first place, regarding easyJet's business case related to LIN, the Short-Haul Remedy Routes and the Short-Haul Direct/Indirect Remedy Routes, the Monitoring Trustee explained that the demand and revenue assumptions within the business case are conservative with potential upside. According to the Monitoring Trustee, notwithstanding any significant and long-term fuel price variations, easyJet's business case can deliver lasting structural change at LIN.[33]

(37) In the second place, the Monitoring Trustee considered that, while the business case may appear less robust for FCO, it is realistic to assume that the FCO base will be successful in the long term due to the possibility of easyJet to make necessary adjustments on routes outside of the scope of the Commitments, or following the expiry of the minimum period.

(38) Fifth, the Monitoring Trustee has confirmed that even in case revenue would drop or fuel prices would rise unexpectedly, easyJet's business case would still be resilient, and the majority of the Short-Haul Remedy Routes would remain above the cancellation thresholds. While on some routes, […] in particular, profitability may be limited in these more extreme scenarios, easyJet would still have the incentive to operate the majority of the Short-Haul Remedy Routes, and would have the possibility to counteract any potential loss-making scenarios through increased brand awareness, demand stimulation and route replacements where appropriate (routes other than the Short-Haul Remedy Routes, at least during the minimum period). In addition, based on the currently available information, these scenarios appear unlikely.[34]

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31 Reasoned Opinion easyJet, Table 2 and Section 6.1.4.
32 Reasoned Opinion easyJet, Table 2 and Section 6.1.4.
33 Reasoned Opinion easyJet, Section 6.3.
34 Reasoned Opinion easyJet, Section 6.2.1. and 6.2.2.

2.2.4.2. Short-Haul Direct/Indirect Remedy Routes

(39) As indicated above, according to paragraph 6 of the Commitments, DLH and MEF are required to enter into an agreement that will enable the Short-Haul Remedy Taker to sell tickets for connecting flights on the eight Short-Haul Direct/Indirect Remedy Routes. According to the same paragraph of the Commitments, this agreement will take, at the option of the Short-Haul Remedy Taker, the form of an SPA or an agreement of similar kind to enable connectivity in relation to ITA's domestic network, in order to connect the Short-Haul Remedy Taker to all intra-Italian routes served by ITA from LIN and FCO for a period of five years.

(40) For the Short-Haul Remedy Routes from Milan that easyJet intends to operate from MXP instead of LIN (i.e. the route Milan – Düsseldorf) easyJet should prove that it is capable of providing viable and competitive connecting flights on the two relevant Short-Haul Direct/Indirect Remedy Routes involving DUS, namely to BDS and NAP.

(41) According to the easyJet Reasoned Proposal, this remedy will be implemented by means of the Virtual Interlining Agreement.[35] More specifically, easyJet will use a partnership with ITA under the Virtual Interlining Agreement to allow consumers to book itineraries composed of flights operated by easyJet and ITA under easyJet's Worldwide offering already described in paragraph (21).

(42) The Commission considers that easyJet will have the incentive to act as a viable and active competitive force on the Short-Haul Direct/Indirect Remedy Routes for the following reasons.

(43) First, as indicated in paragraph (21), easyJet already has proven experience in distributing tickets for itineraries using more than one flight segment.

(44) Second, easyJet has invested in making its Worldwide service available in the market. Customers can search the itinerary through the search functions on easyJet's website or a third-party platform such as Google Flights or Skyscanner. They are then able to select the ticket classes for each flight as well as other add-ons such as extra baggage or seats,[36] to enter and submit their payment details once and to decide whether to travel with or without checked-in luggage.

(45) Third, easyJet plans on improving the customer experience of the Worldwide passengers […] of customers choosing the Worldwide service.[37] While passengers travelling on a flight booked through Worldwide currently need to self-transfer at the connecting airport,[38] easyJet is […]. More specifically, in line with its strategic plan, easyJet commenced the development of IT and operational capability to […]. This will allow Worldwide to […]. […] has been chosen as the location for the initial phases of the project. If the foreseen testing phases are successful, the product will become available to customers on multiple O&Ds and at multiple […] airports […].[39]

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35 easyJet Reasoned Proposal, paragraph 26.

36 *Ibid.*

37 Response of easyJet to a Commission's request for information ("RFI Reasoned Proposal 1"), dated 21 October 2024, question 12.

38 easyJet Reasoned Proposal, paragraph 50.

39 easyJet Reasoned Proposal, paragraph 51.

(46) Fourth, the Worldwide offer includes different levels of insurance through Dohop to customers.[40] The price for each protection level is calculated as a percentage of the price of the flight and it increases as the level of protection increases.[41] Therefore, customers can opt either for cheaper flights without protection or more expensive flights with a higher level of protection.[42]

(47) Fifth, despite the differences between the offering of Worldwide and network carriers' offering of interline itineraries, Worldwide has been able to attract a sizeable number of passengers, based on the number of bookings recorded by Worldwide between Summer IATA 2021 and Summer IATA 2024.[43] Furthermore, Lufthansa and MEF submit that the Virtual interlining market is currently growing and will continue to grow in the future.[44]

(48) Sixth, while easyJet has opted to operate direct flights from MXP (and not LIN) on the Short-Haul Remedy Route Milan-Düsseldorf, it already operates direct flights from MXP to each of BDS and NAP. Therefore, easyJet's offer under the Worldwide programme will also cover the Short-Haul Direct/Indirect Remedy Routes DUS-NAP and DUS-BDS, in line with paragraph 6 of the Commitments.

2.2.4.3. Slots at Milan LIN airport

(49) According to paragraph 21 of the Commitments, Lufthansa and MEF commit to divest 204 weekly slots at LIN in Summer and 192 weekly slots at LIN in Winter (which consists of the increment of slots added to the Parties' portfolio through the Transaction, and the surplus slots aimed at ensuring a sufficient scale of operations for the Short-Haul Remedy Taker).

(50) The Commission considers that the transfer of slots to easyJet will provide the latter with a reliable basis to expand its activities in Milan, achieve a sufficient scale and establish itself as a competitive player. As a result, easyJet will be in a better position to operate on the problematic routes for the longer term.

(51) The Commission notes that Luxair expressed its concerns in relation to the above-mentioned provision of the Commitments and the identification of easyJet as the Short-Haul Remedy Taker in three letters dated 3 July, 27 August and 10 October 2024.

(52) In the letter dated 3 July 2024, Luxair expressed concerns in relation to the ability of the Commitments to resolve the competition problems raised in relation to Milan LIN, should slots in LIN airport - which in Luxair's view focuses on "*premium passenger traffic*" – be allocated to low-cost carriers such as easyJet, which "*typically serve[s] non-premium passengers*".[45]

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40 Reasoned Opinion easyJet, Section 5.3.1.

41 Reasoned Opinion easyJet, Section 5.4.1.

42 Response of easyJet to a Commission's request for information ("RFI Reasoned Proposal 1"), dated 21 October 2024, question 12.

43 Response of easyJet to a Commission's request for information ("RFI Reasoned Proposal 1"), dated 21 October 2024, question 12.

44 easyJet Reasoned Proposal, paragraph 57.

45 Luxair Letter, "M.11071 – DLH / ITA – Liberation of slots at the airport of Milan Linate", dated 3 July 2024.

(53) In the letter dated 27 August 2024,[46] Luxair complained about the additional Slots at Milan LIN airport being released to a single remedy taker that will allegedly create a duopoly at LIN, and about easyJet's ability to take up the additional Slots at Milan LIN.

(54) In the letter dated 30 October 2024,[47] Luxair complained about (i) its level of participation in the merger control proceeding relating to the Transaction and (ii) not being considered by the Parties as a potential Short-Haul Remedy Taker, particularly in relation to the additional Slots at Milan LIN Airport.

(55) Regarding the core of Luxair's complaint, the Commission notes that its Decision in relation to the Transaction discusses substitutability between MXP and LIN, and acknowledges that LIN, unlike MXP, offers the possibility of serving a segment of "*premium passengers*" that are willing to pay more in order to fly to or from LIN. This consideration was taken into account when considering closeness of competition on the Short-Haul Remedy Routes.[48] However, the Decision does not conclude that LIN only serves premium passengers.

(56) As explained further above in Section 2.2.4.1, notably based on easyJet's business case, it is the Commission's view that easyJet will be able to operate the additional Milan LIN Slots. In this regard, the additional Slots at Milan LIN that will be transferred will enable easyJet to serve additional routes from LIN, and thereby further expand its presence and route portfolio in Italy (including routes to [details of future strategy] which are not currently served by other low-cost-carriers from LIN).[49]

(57) The objective of transferring the additional Slots at Milan LIN to the Short-Haul remedy taker is to ensure that the latter will achieve a sufficient scale, and, as indicated in paragraph 22 of the Commitments to "*enable a continuous offer and efficient operation of the Short-Haul Remedy Taker*".[50] The additional Slots at Milan LIN will allow easyJet to achieve a sufficient scale and to operate a base at LIN. This is aligned to easyJet's strategy of serving primary airports and will also attract significant inbound traffic from source markets outside of Italy where easyJet has a substantial presence. easyJet plans to base five Airbus A320 aircraft at LIN, which is similar in size to other easyJet bases throughout Europe, where easyJet is capable of operating efficiently and effectively.[51] This, in turn, will allow easyJet to remain profitable on the Short-Haul Remedy Routes, by ensuring a profitable business case that can deliver "*lasting structural change*" at LIN. The Commission notes that this is a view that has been supported by the Monitoring Trustee in its Reasoned Opinion easyJet.[52]

Luxair Letter, "M.11071 – DLH / ITA – Liberation of slots at the airport of Milan Linate", dated 27 August 2024.

47 Luxair Letter, "M.11071 – DLH / ITA – Liberation of slots at the airport of Milan Linate", 30 October 2024.

48 Section 6.5.3.6.1. and 6.5.3.6.4. of the Decision.

49 easyJet Reasoned Proposal, paragraph 68.

50 Paragraph 22 of the Commitments.

51 easyJet Reasoned Proposal, paragraph 68.

52 Reasoned Opinion easyJet, Section 6.3.

2.2.5. Absence of prima facie competition problems

(58) According to paragraph 34 (c) of the Commitments, the operations on the Remedy Short-Haul Routes by the Short-Haul Remedy Taker must neither be likely to create, in light of the information available to the Commission, *prima facie* competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed. In particular, the Short-Haul Remedy Taker must reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the operations on the Remedy Short-Haul Routes.

2.2.5.1. Short-Haul Remedy Routes and the Short-Haul Direct/Indirect Remedy Routes

(59) Pursuant to paragraph 34 (c) of the Commitments, the operations on the Short-Haul Remedy Routes and the offer on the Short-Haul Direct/Indirect Remedy Routes by the Short-Haul Remedy Taker must not be likely to create, in light of the information available to the Commission, *prima facie* competition concerns. In addition, the Short-Haul Remedy Taker must reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the operations on the Short-Haul Remedy Routes and the Short-Haul Direct/Indirect Remedy Routes.

(60) In the easyJet Reasoned Proposal, the Parties explain that on all Remedy Short-Haul Routes, except for Rome – Zurich, easyJet is not yet active. Therefore, there is no horizontal overlap between the Parties and easyJet on these routes and no competition concerns arise.[53] Similarly, as easyJet is not yet active on any of the eight Short-Haul Direct/Indirect Remedy Routes (directly or indirectly), competition concerns do not arise. This is in line with the Commission's assessment included in the Decision and based on the catchment areas considered in the Decision.

(61) The Parties consider Basel to be part of the catchment area of Zurich. Under such an approach, easyJet may be said to be active on the route Rome-Zurich.[54] In its Decision the Commission has assessed the Rome-Zurich route and concluded that easyJet's market position is not sufficient to constrain a combined Lufthansa/ITA entity on this route. Notably, Lufthansa and ITA have various advantages over easyJet, such as their position on the primary airport of Zurich and frequencies deployed.[55] In addition, as explained in the Decision, market participants (including easyJet) consider that Basel Airport and Zurich Airport are not close substitutes to each other.[56]

(62) If Zurich Airport and Basel Airport would be considered separate markets, there would be no overlap between the activities of easyJet and the Parties. If Basel Airport were considered part of the Zurich catchment area, easyJet's market shares in 2023/2024 amounted to 26% in the summer season and 39% in the winter season.[57] Following the implementation of the Commitments, easyJet's market share during the summer season could increase to 44%.[58] easyJet would however still face competition from the combined Lufthansa/ITA entity (with a market share

53 easyJet Reasoned Proposal, paragraphs 75 and 77.
54 In its Decision, the Commission has left the market definition open. See Decision in, paragraph 248.
55 Decision, paragraph 1069 *et seq*.
56 Decision, paragraphs 247 and 627-629.
57 Decision, table 49.
58 Decision, table 49.

of 44%) and Wizz Air (with a market share of 12%).[59] During the winter season, easyJet's market share could increase to 54%, but easyJet would again still face competition from the combined Lufthansa/ITA entity (with a market share of 32%) and Wizz Air (with a market share of 14%). Therefore, easyJet's expansion on this route, and entry in Zurich Airport is likely to increase the competitive pressure on the Parties rather than raise *prima facie* competition concerns.

(63) Therefore, the expansion of easyJet in Zurich Airport is not likely to create *prima facie* competition concerns, which is in line with the Monitoring Trustee's assessment.[60]

(64) Furthermore, as explained in Section 2.3 below, easyJet will enter a Virtual Interlining Agreement with ITA to implement the Short-Haul Direct/Indirect Remedy. The Commission considers that the entry into the Virtual Interlining Agreement will not result in *prima facie* competition concerns in terms of coordinated effects, as the agreement will not create a dependency of easyJet on ITA. The operational set-up of its routes will remain at the hands of easyJet, which will also maintain its ability to price independently the tickets for the combination of the flight segments distributed under the Virtual Interlining Agreement.[61]

(65) Therefore, the entry of easyJet into a Virtual Interlining Agreement with ITA is not likely to create *prima facie* competition concerns in terms of coordinated effects.

2.2.5.2. Slot holdings and transfer of additional Remedy Slots at LIN to easyJet

(66) In its Decision, in order to assess the risks of foreclosure entailed by the concentration of slots at certain airports in the hands of a single undertaking, the Commission applied the airport-by-airport approach, and found that there are no airport substitutes to LIN.[62]

(67) Table 1 below shows the slots held by easyJet at LIN pre-Transaction, based on Winter 2022/2023 and Summer 2023 slot holdings, and the share of the total LIN slots represented by the remedy slots in LIN.

Table 1: Slot holding of easyJet at LIN airport for the purposes of the assessment (%)

	Winter 2022/2023	**Summer 2023**
easyJet	6.4%	5.5%
Remedy Slots	9%	9.5%
Combined	15.4%	15%

Source: easyJet Reasoned Proposal, Tables 2 and 3.

(68) As shown by the table above, following the transfer of slots at LIN, easyJet would benefit from an increment just below 10%. In addition, easyJet's share of the slots at LIN before the transfer is limited and below 10%.[63] easyJet's market share after obtaining the additional Slots at LIN would therefore not be indicative of market power, as it will range around 15% both in the summer and the winter seasons.

59 easyJet Reasoned Proposal, paragraph 76 and Table 1. Based on summer 2023 data as a proxy.
60 Reasoned Opinion easyJet, Section 7.
61 easyJet Reasoned Proposal, paragraphs 26-27.
62 See Decision, paragraphs 295 and 1658.
63 easyJet Reasoned Proposal, paragraph 79.

Therefore, easyJet would not enjoy a very high slot holding in LIN – which is a prerequisite for the finding of a foreclosure concern based on the airport-by-airport approach. Accordingly, the circumstances arising as a result of easyJet's expansion at LIN as the Short-Haul Remedy Taker cannot lead the Commission to find concerns at LIN.

(69) At the other airports where a transfer of slots is required based on the Commitments as listed in paragraph (2)i), (i) easyJet either does not hold any slots, or (ii) its slot holding share in the summer 2024 season did not exceed 5%. Considering also that the number of slots transferred on these airports is limited, the transfer of slots does not result in any potential competition concerns.[64]

(70) Therefore, the transfer of additional Remedy Slots at LIN is not likely to create *prima facie* competition concerns due to the limited share of the slots of easyJet at the airports relevant for the Commitments.

2.2.5.3. Necessary approvals

(71) The Parties confirmed that easyJet expects that no merger control or foreign direct investment control approvals are required for the implementation of the Commitments.

(72) This *prima facie* assessment is based on the information available for the purpose of this Remedy Taker approval and does not prejudge the competition assessment by a competent competition authority under applicable merger control rules.

2.2.5.4. Other considerations

(73) easyJet expects to be able to start operations from the IATA Summer 2025, in line with the Commitments.[65] This is in line with Clause 3.1.1.1. of the Entry Commitment Agreement that is binding to Lufthansa, MEF and easyJet, which reads "*Subject to the transfer to easyJet of the Remedy Routes Slots and the LIN Remedy Taker Slots, in accordance with this Agreement and the STA, easyJet undertakes to operate air passenger services on the Remedy Routes, in terms of capacity and number of services/frequencies for at least a period of […] seasons commencing from IATA Summer season 2025*".

2.2.6. Conclusion on remedy taker criteria

(74) Considering the above and taking into account the Reasoned Opinion easyJet submitted by the Monitoring Trustee, the Commission concludes that easyJet fulfils the criteria enshrined in Section C of the Commitments.

2.3. Assessment of the Short-haul Agreements

(75) As indicated in paragraph (2) and (3) above, the Proposed Short-Haul Agreements consist of the (i) Entry Commitment Agreement, (ii) Slot Transfer Agreement and the (iii) Virtual Interlining Agreement. In addition, the Parties and easyJet have agreed on the heads of terms of a Wet Lease Agreement.

64 easyJet Reasoned Proposal, paragraph 79.

65 easyJet Reasoned Proposal, paragraph 80.

(76) The Monitoring Trustee reviewed the Proposed Short-Haul Agreements and confirmed that they are consistent with the Commitments. The Commission agrees with that assessment.

(77) The Monitoring Trustee considered that the terms of the Proposed Short-Haul Agreements reflect the conditions and the Parties' obligations set out in the Commitments.

(78) In particular, the Monitoring Trustee confirmed the following:

(a) The Entry Commitment Agreement includes the Short-Haul Remedy Taker's undertaking to operate the minimum Frequencies and for the minimum period included in the Commitments, as well as sufficient enforcement mechanisms in connection with this undertaking, in line with paragraphs 1 and 2 of the Commitments.[66]

(b) The Monitoring Trustee also explained that whilst the departure and landing times requested by the Short-Haul Remedy Taker may not be identical to the Parties' offering, easyJet have confirmed that they are happy with the slot times offered by the Parties. The Monitoring Trustee and the Commission consider that this approach is in line with paragraphs 4 and 22 of the Commitments, as the intention was for the Short-Haul Remedy Taker to be able to secure the best slots for its business case.[67] The Monitoring Trustee also explained that all slots offered to the Short-Haul Remedy Taker fall within a period of 20 minutes on either side of the slot time requested by the Short-Haul Remedy Taker, with the exception of 36 weekly slots during the winter season. However, the Parties plan to apply for the appropriate slots during the coordination for the winter 2025 season and envisage no issues with obtaining these slots and transferring them to the Short-Haul Remedy Taker.[68] Therefore, the approach is in line with paragraph 5 of the Commitments.[69]

(c) Regarding the Virtual Interlining Agreement, the Monitoring Trustee considers that the terms of Virtual Interlining Agreement are in line with paragraphs 27, 28 and 29 of the Commitments.[70]

(d) Regarding the heads of terms of the Wet Lease Agreement, the Monitoring Trustee explained that ITA could provide no examples, however it did provide with its methodology for calculating the terms. The Monitoring Trustee explained that the wet lease is offered on fair commercial terms.[71]

(79) The Commission notes that the slot transfers envisaged in the Proposed Short-Haul Agreements between Lufthansa, ITA and the Short-Haul Remedy Taker relate to the implementation of the Commitments and therefore take place pursuant to the Merger Regulation.

(80) In light of the above considerations, and taking into account the Reasoned Opinion easyJet submitted by the Monitoring Trustee, the Commission concludes that the Short-Haul Agreements are consistent with the Commitments including their

66 Reasoned Opinion easyJet, Section 8.1.1 and 8.1.2.
67 Reasoned Opinion easyJet, Section 8.1.2.
68 Reasoned Opinion easyJet, Section 8.1.2. and Table 8.
69 Reasoned Opinion easyJet, Section 8.1.2. and Table 8.
70 Reasoned Opinion easyJet, Section 8.3.(b).
71 Reasoned Opinion easyJet, Section 8.4.

objective bring about a lasting structural change in the market, as laid down in paragraphs 35 and 37 of the Commitments.

3. ASSESSMENT OF THE PROPOSAL – LONG-HAUL

(81) Pursuant to paragraph 37 of the Commitments, the Commission has to verify that each of the Long-Haul Remedy-Takers fulfils the long-haul remedy-taker criteria and that the Proposed Long-Haul Agreements are consistent with the Commitments including their objective to bring about a lasting structural change to the market.[72]

(82) According to paragraph 36 of the Commitments,[73] in order to be approved by the Commission, the Long-Haul Remedy-Takers must fulfil the following criteria:

(a) The Long-Haul Remedy Takers shall be independent of and unconnected to the Notifying Parties, their Affiliated Undertakings and the A++ JV Partners.

(b) The Long-Haul Remedy Takers shall have the financial resources, proven expertise and incentives to act as viable and active competitive forces in competition with the Parties, the A++ JV Partners and other competitors on the Long-Haul Remedy Routes.

(c) The operations on the Long-Haul Remedy Routes by the Long-Haul Remedy Takers must not be likely to create, in light of the information available to the Commission, *prima facie* competition concerns. In addition, the Long-Haul Remedy Taker must reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the operations on the Long-Haul Remedy Routes.

3.1. Assessment of IAG

3.1.1. Brief description of the proposed Long-Haul Remedy Taker

(83) IAG is a multinational airline holding company headquartered in London, United Kingdom. It is the parent company of multiple airline companies, such as British Airways ("BA"), Iberia, Aer Lingus and Vueling.[74] IAG operates domestic and international scheduled services, with its main hubs located in London Heathrow and Madrid Barajas, and several bases around Europe, including Rome-Fiumicino.[75] The IAG airlines own more than 500 aircraft that fly to more than 250 destinations across 91 countries, and the group has more than 71 000 employees.[76]

3.1.2. Remedy taker criteria

3.1.2.1. Independence from the Parties

(84) Pursuant to paragraph 36(a) of the Commitments, the Long-Haul Remedy Takers shall be independent of and unconnected to the Notifying Parties, their Affiliated Undertakings and the A++ JV Partners.

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72 See paragraphs 101 and seq. of the Commission notice on remedies acceptable under Council Regulation (EC) No 139/2004 and under Commission Regulation (EC) No 802/2004 (the 'Remedies Notice').

73 See Remedies Notice, paragraphs 48-49.

74 Long-Haul Reasoned Proposal, paragraph 51.

75 Long-Haul Reasoned Proposal, paragraph 53.

76 Long-Haul Reasoned Proposal, paragraphs 53-55.

(85) IAG does not belong to the same group of companies as Lufthansa or Lufthansa's A++ JV partners (United Airlines and Air Canada), nor is it an associated carrier belonging to the mentioned companies. In addition, IAG does not belong to any group of companies under the control of the MEF, as was the case with ITA. Furthermore, IAG and Lufthansa are not aware of any material shareholders common to IAG and Lufthansa (i.e., with shareholdings in excess of 5%)[77] and IAG holds no equity or debt interests in the Parties, their affiliates and subsidiaries or the A++ JV Partners[78]. IAG holds no equity or debt interests in the Parties, their affiliates and subsidiaries or the A++ JV Partners. In addition, the Parties submit that IAG does not have any significant commercial relationships with Lufthansa, the MEF, ITA or Lufthansa's A++ JV partners beyond the following contracts:

i) […] have reprotection agreements with various subsidiary airlines of Lufthansa.[79] According to the Parties, reprotection agreements are industry standard agreements that enable an airline to rebook affected passengers on alternative flights in the event of disruption, operational issues, or cancellation.[80] These agreements are negotiated on an arm's-length basis and total volume of business is minimal.

ii) […] have an interlining agreement with […] that is mainly used for reprotection purposes and that has been agreed on an arm's length basis.[81] The Parties submit that the total volume of this business is minimal.

iii) […] has concluded interlining, codeshare and special prorate agreements with […].[82] The Parties submit that these agreements were negotiated at arm's length.

(86) Based on the submissions of the Parties[83] and the Monitoring Trustee's Reasoned Opinion for IAG,[84] the Commission concludes that these contractual relationships are industry standard agreements concluded at arm's length and they represent limited value considering IAG's overall business. Therefore, the Commission concludes that IAG is independent of and unconnected to the Parties and their affiliated undertakings.

3.1.2.2. Financial resources, proven expertise and incentive to act as a viable and active competitive force.

(87) Pursuant to paragraph 36(b) of the Commitments, the Long-Haul Remedy Takers shall have the financial resources, proven expertise and incentive to act as a viable and active competitive force in competition with the Parties, the A++ JV Partners and other competitors on the Long-Haul Remedy Routes.

77 Response of Lufthansa and MEF to a Commission's request for information ("RFI 73"), question 2.
78 Reasoned Opinion IAG, Section 3.
79 […]. See Long-Haul Reasoned Proposal, paragraph 61.
80 Long-Haul Reasoned Proposal, paragraph 60.
81 Long-Haul Reasoned Proposal, paragraph 62.
82 Long-Haul Reasoned Proposal, paragraph 63.
83 Long-Haul Reasoned Proposal, paragraph 65.
84 Reasoned Opinion IAG, Section 3.

3.1.2.2.1. Financial resources

(88) IAG's total revenues in H1 2024 are equal to EUR 14.7 billion, with IAG's operating profit having increased in H1 2024 by EUR 49 million to around EUR 1.3 billion.[85] In addition, IAG's total flight capacity has increased by 7% between 2023 and 2024.[86] IAG further submits that it does not require any specific external funding to finance its participation as a Long-Haul Remedy Taker and that it does not anticipate any direct or material costs for the implementation of the LH Remedy Transaction.[87] This is because IAG will be re-allocating existing capacity to offer the one-stop connections on the Long-Haul Remedy Routes and it is anticipated that this existing capacity would incur similar operating costs if it were used elsewhere instead of offering one-stop connections on the Long-Haul Remedy Routes.[88]

(89) Therefore, and based on the Monitoring Trustee's Reasoned Opinion,[89] the Commission concludes that, overall, IAG possesses sufficient financial resources to act as a viable and active competitive force in competition with the Parties, the A++ JV Partners and other competitors on the Long-Haul Remedy Routes.

3.1.2.2.2. Proven expertise

(90) IAG is one of the largest airline groups in Europe, including in Italy, where IAG already serves most of the major and medium-sized airports with increasing capacity since 2015 (except Covid-impacted years 2020-22).[90] IAG is further already active worldwide, including by connecting passengers from its major hubs in the UK, Ireland and Spain to destinations in North America. The Parties submit that IAG offers similar services to Lufthansa and ITA for all customer groups, including to business customers.[91]

(91) Therefore, and based on the Monitoring Trustee's Reasoned Opinion,[92] the Commission concludes that IAG possesses the proven expertise to act as a viable and active competitive force in competition with the Parties, the A++ JV Partners and other competitors on the Long-Haul Remedy Routes.

3.1.2.2.3. Incentive

(92) The Parties submit that traffic to North America represents IAG's largest long-haul market and that BA currently already operates the largest network of direct routes between Europe and North America, carrying many connecting passengers from the EEA, including Italy, to North America via its UK hubs in London-Heathrow and London-Gatwick.[93] As part of IAG's North America strategy, it is part of a metal-neutral revenue-sharing joint venture with American Airlines and Finnair covering North American traffic.

85 Long-Haul Reasoned Proposal, paragraph 68.
86 Long-Haul Reasoned Proposal, paragraph 68.
87 Long-Haul Reasoned Proposal, paragraph 70.
88 Long-Haul Reasoned Proposal, paragraph 70.
89 Reasoned Opinion IAG, Section 4.
90 Long-Haul Reasoned Proposal, paragraph 72. Reasoned Opinion IAG, Section 5.
91 Long-Haul Reasoned Proposal, paragraph 73.
92 Reasoned Opinion IAG, Section 5.
93 Long-Haul Reasoned Proposal, paragraphs 76-80.

(93) Moreover, the Monitoring Trustee's analysis of BA's passengers and profitability on the Long-Haul Remedy Routes confirms that BA's financial performance on these routes is robust and that IAG has an incentive to optimise its market share in these markets by continuing to provide the Long-Haul Remedy Routes.[94]

(94) In light of the above, and based on the Monitoring Trustee's Reasoned Opinion,[95] the Commission concludes that IAG has the incentive to act as a viable and active competitive force in competition with the Parties, the A++ JV Partners and other competitors on the Long-Haul Remedy Routes.

3.1.2.3. Absence of *prima facie* competition problems

(95) Pursuant to paragraph 36(c) of the Commitments, the operations on the Long-Haul Remedy Routes by the Long-Haul Remedy Takers must not be likely to create, in light of the information available to the Commission, *prima facie* competition concerns. In addition, the Long-Haul Remedy Takers must reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the operations on the Long-Haul Remedy Routes.

(96) Based on an analysis prepared by the Parties, the combined market share of IAG and IAG's joint venture partners American Airlines and Finnair on the Long-Haul Remedy Routes is limited with IAG's joint venture representing only [10-20]% of passengers in Summer 2023 and [10-20]% of passengers in Winter 2023/24 on the route Rome-San Francisco, only [5-10]% of passengers in Summer 2023 and [5-10]% of passengers in Winter 2023/24 on the route Rome-Washington, and only [0-5]% of passengers in Summer 2023 on the route Rome-Toronto.[96] Therefore, and based on the Monitoring Trustee's Reasoned Opinion,[97] the Commission considers that IAG's participation in the Long-haul Remedy Agreement is not likely to create *prima facie* competition concerns on the Long-Haul Remedy Routes.

(97) In addition, based on the Long-Haul Reasoned Proposal[98] and the Monitoring Trustee's Reasoned Opinion,[99] the transfer of the LIN Slots to IAG is not likely to create *prima facie* competition concerns as IAG's slot holdings at LIN airport will remain below 10% following the implementation of the remedy.

(98) The Parties further submit that IAG expects to obtain necessary approval for the transfer of slots at Rome-FCO and Milan-LIN by the Italian slot coordinator.[100] Moreover, the Parties submit that IAG does not require any additional approvals from regulatory authorities for the operation on the Long-Haul Remedy routes.[101] Therefore, and based on the Monitoring Trustee's Reasoned Opinion,[102] the Commission also considers that IAG is expected to obtain all necessary approvals from the relevant regulatory authorities for the operations on the Long-Haul Remedy Routes.

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94 Reasoned Opinion IAG, Section 6.
95 Reasoned Opinion IAG, Section 6.
96 Long-Haul Reasoned Proposal, paragraphs 87-90.
97 Reasoned Opinion IAG, Section 7.
98 Long-Haul Reasoned Proposal, paragraph 91.
99 Reasoned Opinion IAG, Section 7.
100 Long-Haul Reasoned Proposal, paragraph 92.
101 Long-Haul Reasoned Proposal, paragraph 92.
102 Reasoned Opinion IAG, Section 7.

3.1.2.4. Conclusion on remedy taker criteria

(99) In light of the above considerations and taking into account the Reasoned Opinion submitted by the Monitoring Trustee, the Commission concludes that IAG meets the remedy taker criteria set out in paragraph 36 of the Commitments.

3.2. Assessment of AFKLM

3.2.1. Brief description of the proposed Long-Haul Remedy taker

(100) AFKLM is a multinational airline holding company headquartered in France. It is the parent company of multiple airline companies, such as Air France, KLM, and Transavia. AFKLM operates domestic and international scheduled services, with its main hubs located in Paris-Charles de Gaulle airport and Amsterdam-Schiphol airport. AFKLM is a member of the SkyTeam alliance and part of a metal-neutral profit-sharing joint venture with Delta Airlines and Virgin Atlantic. AFKLM owns more than 550 aircraft and, in 2023, transported 94 million passengers worldwide. AFKLM employs around 46 000 employees in France and 26 000 employees in the Netherlands.[103]

3.2.2. Remedy taker criteria

3.2.2.1. Independence from the Parties

(101) Pursuant to paragraph 36(a) of the Commitments, the Long-Haul Remedy Taker shall be independent of and unconnected to the Notifying Parties, their Affiliated Undertakings and the A++ JV Partners.

(102) AFKLM does not belong to the same group of companies as Lufthansa or Lufthansa's A++ JV partners (United Airlines and Air Canada), nor is it an associated carrier belonging to the mentioned companies. In addition, AFKLM does not belong to any group of companies under the control of the MEF, as was the case with ITA.[104] While AFKLM and ITA are currently members of the SkyTeam alliance, ITA is expected to leave the SkyTeam alliance and join the Star Alliance following the closing of the Transaction. Furthermore, AFKLM is not aware of any material shareholdings which may be owned by the Italian State (i.e., in excess of 5%) and AFKLM and Lufthansa are not aware of any material shareholders common to AFKLM and Lufthansa (i.e., with shareholdings in excess of 5%)[105], with the sole exception of a […] Joint Venture with a Lufthansa' subsidiary created for the component maintenance of aircraft, which the Monitoring Trustee considers to be unconnected to the Proposed Long-Haul Agreements and unable to impact on the required independence of AFKLM[106]. Moreover, AFKLM holds no debt interests in the Parties, their affiliates and subsidiaries or the A++ JV Partners[107].

103 Long-Haul Reasoned Proposal, paragraphs 107-113.
104 Long-Haul Reasoned Proposal, paragraph 114.
105 Response of Lufthansa and MEF to a Commission's request for information ("RFI 73"), question 2.
106 Reasoned Opinion AFKLM, Section 3.
107 Reasoned Opinion AFKLM, Section 3.

(103) In addition, the Parties submit that AFKLM does not have any significant commercial relationships with Lufthansa, the MEF or ITA and Lufthansa's A++ JV partners beyond the following contracts:

i) Between ITA and AFKLM, the following agreements are in place:[108]

a. [Financial information].

b. [Financial information].

c. […].

ii) Between Lufthansa and AFKLM, the following agreements are in place:[109]

a. [Financial information].

b. AFKLM sources maintenance, repair and overhaul (MRO) services from LH Technik and from Lufthansa's subsidiaries on an ad hoc basis when and where required, also depending on the airport. As such, in certain airports, Lufthansa may provide line maintenance services and/or auxiliary power unit MRO for aircraft in the AFKLM fleet, or certain IT services, if required. Such agreements are negotiated at arm's length.

c. [Details of commercial agreement].

iii) AFKLM has entered into the following commercial agreements with Lufthansa's joint venture partner Air Canada:[110]

a. AFKLM has an arm's length interlining agreement for certain beyond-Canadian gateway destinations on Air Canada-operated flights for AFKLM connecting passengers, and certain beyond-AMS and beyond-CDG destinations on AFKLM-operated flights for Air Canada connecting passengers. In 2023, AFKLM paid Air Canada EUR [financial information], and Air Canada paid AFKLM about EUR [financial information].

b. In the field of maintenance, AFLKM, via its subsidiary AF Industries, has a contract with Air Canada to service [details of commercial agreement]. The revenue generated by AFKLM from this contract in the nine months until the end of September 2024 was USD […]. In addition, [details of commercial agreement].

(104) Based on the submissions of the Parties and the Monitoring Trustee's Reasoned Opinion,[111] these contractual relationships are at arm's length and have been entered into during the ordinary course of business, they represent limited value considering AFKLM's overall business, and there are alternatives available to AFKLM for the supplied services. Therefore, the Commission concludes that

108 Long-Haul Reasoned Proposal, paragraph 117.
109 Long-Haul Reasoned Proposal, paragraph 118.
110 Long-Haul Reasoned Proposal, paragraph 121.
111 Reasoned Opinion AFKLM, Section 3.

AFKLM is independent of and unconnected to the Parties and their affiliated undertakings.

3.2.2.2. Financial resources, proven expertise and incentive to act as a viable and active competitive force.

(105) Pursuant to paragraph 36(b) of the Commitments, the Long-Haul Remedy Taker shall have the financial resources, proven expertise and incentive to act as a viable and active competitive force in competition with the Parties, the A++ JV Partners and other competitors on the Long-Haul Remedy Routes.

3.2.2.2.1. Financial resources

(106) In 2023, AFKLM had the highest revenue in its history amounting to EUR 30 billion with a net income amounting to EUR 934 million. In addition, AFKLM's revenues grew between the second quarter of 2023 and the first half of 2024 by 1.6%, whereas its net debt improved by EUR 5 billion in January 2024 compared to 2022. At the same time, AFKLM's traffic grew by 2.7% during the second quarter of 2024 with particular high growth in traffic to North America (6%). As of June 2024, AFKLM holds EUR 9.6 billion in cash and, as of July 2024, it has access to new revolving credit facilities that provide AFKLM with additional access to funding. AFKLM does not expect to require additional external financing to fund the remedies.[112]

(107) Therefore, and based also on the Monitoring Trustee's Reasoned Opinion,[113] the Commission concludes that AFKLM possesses sufficient financial resources to act as a viable and active competitive force in competition with the Parties, the A++ JV Partners and other competitors on the Long-Haul Remedy Routes.

3.2.2.2.2. Proven expertise

(108) AFKLM is one of the largest airline groups in Europe, including in Italy, where AFKLM already serves most of the major and medium-sized airports. AFKLM is further already active worldwide including by connecting passengers from its major hubs in France and Amsterdam to destinations in North America.[114] The Parties submit that AFKLM offers similar passenger transport services as Lufthansa and ITA to all customer groups, including to business customers.[115]

(109) Furthermore, the Monitoring Trustee confirmed that the Long-Haul Remedy Routes affect countries and airports where AFKL has operated for many decades and has a strategic interest. In the case of the USA, AFKL benefits from the strong brand presence of its joint venture partner[116].

(110) Therefore, and based on the Monitoring Trustee's Reasoned Opinion,[117] the Commission concludes that AFKLM possesses the proven expertise to act as a viable and active competitive force in competition with the Parties, the A++ JV Partners and other competitors on the Long-Haul Remedy Routes.

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112 Long-Haul Reasoned Proposal, paragraphs 126-131.
113 Reasoned Opinion AFKLM, Section 4.
114 Long-Haul Reasoned Proposal, paragraphs 132-135.
115 Long-Haul Reasoned Proposal, paragraph 138.
116 Reasoned Opinion AFKLM, Section 5.
117 Reasoned Opinion AFKLM, Section 5.

3.2.2.2.3. Incentive

(111) The Parties submit that traffic to North America represents an important part of AFKLM's long-haul business and that it has recently expanded its North America business.[118] As part of AFKLM's North America strategy, it is part of a metal-neutral profit-sharing joint venture with Delta Airlines and Virgin Atlantic, which provides further evidence of AFKLM's commitment to compete for traffic between Europe and North America.

(112) Moreover, the Monitoring Trustee's analysis of AFKLM's passengers and profitability on the Long-Haul Remedy Routes confirms that overall AFKLM has an incentive to maintain these connections due to the significant contribution onto its long-haul network[119].

(113) Therefore, and based on the Monitoring Trustee's Reasoned Opinion,[120] the Commission concludes that AFKLM has the incentive to act as a viable and active competitive force in competition with the Parties, the A++ JV Partners and other competitors on the Long-Haul Remedy Routes.

3.2.2.3. Absence of *prima facie* competition problems

(114) Pursuant to paragraph 36(c) of the Commitments, the operations on the Long-Haul Remedy Routes by the Long-Haul Remedy Taker must not be likely to create, in light of the information available to the Commission, *prima facie* competition concerns. In addition, the Long-Haul Remedy Taker must reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the operations on the Long-Haul Remedy Routes.

(115) Based on an analysis prepared by the Parties, the combined market share of AFKLM and AFKLM's joint venture partners Delta Airlines and Virgin Atlantic on the Long-Haul Remedy Routes is limited, with AFKLM's joint venture representing only [5-10]% of passengers in Summer 2023 on the route Rome-San Francisco, only [5-10]% of passengers in Summer 2023 and [10-20]% of passengers in Winter 2023/24 on the route Rome-Washington, and only [0-5]% of passengers in Summer 2023 on the route Rome-Toronto.[121] Therefore, and based on the Monitoring Trustee's Reasoned Opinion,[122] the Commission considers that AFKLM's participation in the Long-haul Remedy Agreement is not likely to create *prima facie* competition concerns on the Long-Haul Remedy Routes.

(116) In addition, based on the Long-Haul Reasoned Proposal[123] and the Monitoring Trustee's Reasoned Opinion,[124] the transfer of slots to AFKLM at Milan-LIN airport is not likely to create *prima facie* competition concerns as AFKLM's slot holdings at LIN airport will remain below 10% following the implementation of the remedy.

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118 Long-Haul Reasoned Proposal, paragraphs 140-145.
119 Reasoned Opinion AFKLM, Section 6.
120 Reasoned Opinion AFKLM, Section 6.
121 Long-Haul Reasoned Proposal, paragraphs 147-150.
122 Reasoned Opinion AFKLM, Section 7.
123 Long-Haul Reasoned Proposal, paragraph 150.
124 Reasoned Opinion AFKLM, Section 7.

(117) The Parties further submit that AFKLM expects to obtain the necessary approval for the transfer of slots at Rome-FCO and Milan-LIN by the Italian slot coordinator. Moreover, the Parties submit that AFKLM does not require any additional approvals from regulatory authorities for the operation on the Long-Haul Remedy routes. Therefore, and also based on the Reasoned Opinion,[125] the Commission considers that AFKLM is expected to obtain all necessary approvals from the relevant regulatory authorities for the operations on the Long-Haul Remedy Routes.

3.2.2.4. Conclusion on remedy taker criteria

(118) In light of the above considerations and taking into account the Reasoned Opinion submitted by the Monitoring Trustee, the Commission concludes that AFKLM meets the remedy taker criteria set out in paragraph 36 of the Commitments.

3.3. Assessment of the Proposed Long-Haul Agreements

(119) As indicated in paragraph (2) and (3) above, the Proposed Long-Haul Agreements consist of (i) the IAG and AFKLM Connectivity Agreements, according to which IAG and AFKLM will establish one-stop connections on the Long-Haul Remedy Routes and (ii) the Slot Transfer and Exchange Agreements, covering the transfer of necessary slots to the Long-Haul Remedy Takers.

(120) The Commission notes that, in compliance with the condition set out in Clauses 9, 12 and 31 of the Commitments, the Parties have entered into Connectivity Agreements with the Proposed Long-Haul Remedy Takers within the deadline set in the Commitments; moreover, pursuant to Clause 37 of the Commitments, the Parties have fulfilled the obligation to submit to the Commission and the Monitoring Trustee a fully documented and reasoned proposal, including a copy of the Connectivity Agreements entered with IAG and AFKLM, within the deadline set in the Commitments.

(121) The Monitoring Trustee reviewed the Proposed Long-Haul Agreements and confirmed that they are consistent with the Commitments.[126]

(122) The Monitoring Trustee considered that the terms of the Proposed Long-Haul Agreements reflect the conditions and the Parties' obligations set out in the Commitments.

(123) In particular, the Monitoring Trustee confirmed that:

i) In line with Clauses 9 (ii) and 31(ii) of the Commitments, the IAG and AFKLM Connectivity Agreements foresee that IAG and AFKLM will together offer and operate at least ten additional weekly Competitive Indirect Connections on average on each of the routes Rome-Washington (year-round), Rome-San Francisco (summer only) and Rome-Toronto (summer only)[127]. In addition, the IAG and AFKLM Connectivity Agreements establish the operation of at least three additional weekly Competitive Indirect Connections on average between FCO and SFO in the

125 Reasoned Opinion AFKLM, Section 7.
126 Reasoned Opinion IAG, Section 8, and Reasoned Opinion AFKLM, Section 8.
126 Reasoned Opinion IAG, Section 8, and Reasoned Opinion AFKLM, Section 8.
127 Response of Lufthansa and MEF to a Commission's request for information ("RFI 73"), question 1.

winter season from one independent competitor that is unconnected to the Parties, their affiliates, and the A++ JV partners, namely BA (see clause 3.2 of the IAG and AFKLM Connectivity Agreements). [128] Notably:

- AFKLM will establish: [details of the IAG and AFKLM connectivity agreements] additional weekly Competitive Indirect Connections on average between each of (i) FCO and WAS in the summer season, (ii) FCO and SFO in the summer season and (iii) FCO and YTO in the summer season and [details of the IAG and AFKLM connectivity agreements] additional weekly indirect connections on average between FCO and WAS in the winter season[129].

- BA will establish: [details of the IAG and AFKLM connectivity agreements] additional weekly Competitive Indirect Connections on average between each of (i) FCO and WAS in the summer season, (ii) FCO and SFO in the summer season and (iii) FCO and YTO in the summer season; [details of the IAG and AFKLM connectivity agreements] additional weekly indirect connections on average between FCO and WAS in the winter season; [details of the IAG and AFKLM connectivity agreements] additional weekly indirect connections on average between FCO and SFO in the winter season[130].

ii) The Monitoring Trustee further confirms that the additional Competitive Indirect Connections meet the criteria of the Commitments having a total travel time of no more than +3 hours compared to the direct ITA flight on the respective Long-Haul Remedy Routes and a connection time of no more than 2 hours[131].

(124) The Commission agrees with the above assessment of the Monitoring Trustee.

(125) Moreover, the Commission notes that, in line with the definition of the Long-Haul Remedy Agreement and pursuant to clauses 10-11 and 31-32 of the Commitments, the AFKLM and IAG Connectivity Agreements also envisage that, in order to support the additional Competitive Indirect Connections:

> - Lufthansa and MEF shall cause ITA to maintain its existing codeshare agreement with AFKLM that connects AFKLM to further Italian destinations served by ITA via FCO and via LIN [details of the IAG and AFKLM connectivity agreements] from the start date of the Long-Haul Remedy Agreement, with the option for AFKLM to unilaterally request an extension for [details of the IAG and AFKLM connectivity agreements][132].
>
> - Lufthansa and ITA will support IAG and AFKLM by committing to exchange or retime slots at FCO (in a timely manner before the start of the each relevant season), upon their request, to the extent required for IAG and AFKLM to fulfil their obligations to establish the Indirect Competitive Connections, subject to the implementation by the competent slot

128 Reasoned Opinion IAG, Section 8, and Reasoned Opinion AFKLM, Section 8.
129 Long-Haul Reasoned Proposal, paragraph 156.
130 Long-Haul Reasoned Proposal, paragraph 95.
131 Reasoned Opinion IAG, Section 8, and Reasoned Opinion AFKLM, Section 8.
132 Long-Haul Reasoned Proposal, paragraphs 165 and 166.

coordinator (see clause 3.3 of the IAG and AFKLM Connectivity Agreements). The exchange or retime of the required slots at FCO will be executed pursuant to the terms set in the Slot Transfer & Exchange Agreements, which Lufthansa and ITA, on one side, and AFKLM and IAG ("**STA Agreements**"), on the other side, have concluded according to their respective Connectivity Agreement. The Monitoring Trustee reviewed the STA Agreements and confirmed that they are consistent with the Commitments.[133]

Furthermore, the Commission notes that, while the Commitments provide that one of the Long-Haul Remedy Takers could rely on interlining with the Parties, neither IAG nor AFKLM will need to enter into such agreements with the Parties in Summer 2025 and Winter 2025/26 and each will rely on its own operations (IAG via LHR and AFKLM via CDG).[134]

(126) Pursuant to clauses 9 and 31 of the Commitments, the IAG and AFKLM Connectivity Agreements foresee that both IAG and AFKLM will offer the additional Competitive Indirect Connections on the relevant Long-Haul Remedy Routes for a duration of three (3) years (starting with the beginning of the season following the approval of the agreement by the Commission).

(127) In line with clause 13 of the Commitments, the Long-Haul Remedy Takers will start selling tickets for the relevant Competitive Indirect Connections as soon as possible and in any event no later than five (5) working days after the issuance of the Remedy Taker Approval Decision by the Commission.

(128) Finally, as anticipated in paragraph (3), the Commission takes note that the Proposed Long-Haul Agreements envisage additional LIN slot transfers from the Parties to the Proposed Long-Haul Remedy Takers with the aim of strengthening their competitive position as indirect competitors on the Long-Haul Remedy Routes. In particular, the Parties submit that:

- The additional LIN slots are needed for the Proposed Long-Haul Remedy Takers to strengthen the stability and sustainability of their operations resulting from the Proposed Long-Haul Agreements.[135]

- The additional LIN slots will improve consumer choice and increase the attractiveness of the Long-Haul Remedy Takers' offer in Milan.[136]

- The additional LIN slots will add competitive pressure on ITA's long-haul operations at Rome-FCO, which depend on connecting traffic from Milan-LIN.[137]

- The additional LIN slots will strengthen the overall competitive position and the brand perception of IAG and AFKLM in Italy.[138]

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133 Reasoned Opinion IAG, Section 8, and Reasoned Opinion AFKLM, Section 8.
133 Reasoned Opinion IAG, Section 8, and Reasoned Opinion AFKLM, Section 8.
134 Long-Haul Reasoned Proposal, paragraphs 96 and 157.
135 Long-Haul Reasoned Proposal, paragraphs 32-36.
136 Long-Haul Reasoned Proposal, paragraphs 37-38.
137 Long-Haul Reasoned Proposal, paragraphs 39-42.
138 Long-Haul Reasoned Proposal, paragraphs 43-46.

(129) In addition, the Parties explain that, if the Proposed Long-Haul Remedy Takers would not comply with the terms and conditions set out in the Long-Haul Remedy Agreements, then these slots at LIN airport will have to be returned to the Parties.[139]

(130) The Commission finds that the transfer of the additional LIN slots from the Parties to IAG and AFKLM pursuant to the terms described in paragraph (3) will further increase competition at Linate airport, in addition to the increased competition at Linate airport arising from the proposed slot transfer from the Parties to easyJet as outlined in Section 2. First, the Parties will continue to be the largest operator at LIN in terms of slot holding, with combined market shares over 50% both in IATA Summer and Winter seasons. Second, LIN is a level 3 coordinated airport under the IATA Worldwide Slot Guidelines, which indicates that demand significantly exceeds the airport's capacity and, therefore, that LIN is a congested airport, with very few slots available. Third, LIN is an especially well-located airport which is easily reachable from the city centre of Milan through a convenient public transport connection, therefore it serves Milan as its primary business airport and is a highly attractive airport for airlines and passengers alike. Accordingly, the transfer of the additional LIN slots, which will not create any *prima facie* competition concerns for the reasons further explained in paragraphs (97) and (116)(116), will add competitive pressure on the Parties' operations at LIN.

(131) In light of the above, the transfer of the additional LIN slots constitutes an integral part of the business case for IAG and AFKLM to become a Long-Haul Remedy Taker and to sign the Long-Haul Remedy Agreements. The LIN slot transfer is therefore related to the implementation of the Long-Haul Commitments which were adopted pursuant to the Merger Regulation.

3.4. Conclusion on the Long-Haul Remedy Takers

(132) In light of the above considerations, the Commission concludes that each of the Long-Haul Remedy-Takers fulfils the long-haul remedy-taker criteria and that the Long-haul Remedy Agreements are consistent with the Commitments including their objective to bring about a lasting structural change to the market.

4. CONCLUSION

(133) On the basis of the above assessment, (i) the Commission approves easyJet as a suitable Short-Haul Remedy Taker for the above-mentioned reasons and (ii) the Commission approves each of IAG and AFKLM as suitable Long-Haul Remedy Takers for the above-mentioned reasons.

(134) On the basis of the Proposed Short-Haul and Long-Haul Agreements, the Commission further concludes that the remedy is being implemented in a manner consistent with the Commitments.

[139] Long-Haul Reasoned Proposal, paragraph 29.

(135) This decision only constitutes approval of the proposed remedy takers identified herein and of the Proposed Short-Haul and Long-Haul Agreements. This decision does not constitute a confirmation that Lufthansa, MEF and ITA have complied with their Commitments.

(136) This decision is based on paragraphs 35 and 37 of the Commitments attached to the Commission Decision of 3 July 2024.

For the Commission

(Signed)
Olivier GUERSENT
Director-General